

Prompt 3: read the footnotes

The Home Depot, annual report for the year ended 1 February 2026. Prompt version 2.16, run 4 October 2026. Test output: a real company used for testing only.

All quotations and pages are from the latest annual report (year ended 1 February 2026). Sizes are shares of its pre-tax income (\$18,602 million).

1. Policy profile

Area	What the report says	Where it sits	Why, in a few words	Size
1. Revenue recognition	"at the time the customer takes possession of merchandise or when a service is performed" (p. 52)	Typical	Point-of-sale retail, net of expected returns; rests on general practice	Deferred revenue 13.8%; returns not quantified
2. Reserves and allowances	"valuation allowance related to these receivables was not material" (p. 48)	Can't tell: not enough disclosed	No amounts for the allowance or returns, no movements, no Schedule II	Self-insurance 8.6%; customer receivables 13.9%
3. Capitalized costs and useful lives	"straight-line basis over their estimated useful lives, which range up to approximately 20 years" (p. 51)	Leans aggressive for acquired customer lists; property typical	Lists valued on "customer attrition rates" (p. 74) but charged evenly over 19 to 20 years; property charge implies about a 13.5-year life	Intangible amortization 3.3%
4. Impairment and goodwill	"exceeded its respective carrying amount, including goodwill" (p. 60)	Can't tell: not enough disclosed	No headroom given for the acquired units; the newest acquisition was not tested	Goodwill 120.1%; acquired units 74.1%
5. Off the balance sheet	"We have no material off-balance sheet arrangements" (p. 37)	Typical	Leases are on the balance sheet and tie to the note; supplier finance is disclosed	Purchase obligations 10.2%; supplier finance 2.2%
6. Related parties	No related-party note in the sections provided	Can't tell: not in the documents	Nothing to judge	Not quantified
7. Contingencies and legal	"not expected to have a material adverse effect" (p. 73)	Can't tell: not enough disclosed	No accrual or range; last year's "non-recurring legal-related benefit" (p. 34) has no amount	Not quantified
8. Auditor and controls	"Sufficiency of audit evidence over certain merchandise inventories" (p. 41)	Typical	Clean opinions, one critical audit matter, no material weakness	Inventories 138.8%
9. Adjusted measures	"long-term debt (including current installments) and equity" (p. 35)	Leans aggressive	The one adjusted measure, return on invested capital, leaves commercial paper out of capital; rests on general practice	Commercial paper 24.0%

2. Full write-ups

Acquisitions: called not material, yet they carry the sales growth

- **The report says:** "the effect of the acquisition was not material to our financial results" (Note 13, p. 75 and p. 77), yet the sales increase was "primarily driven by SRS" and GMS (management discussion, p. 33).
- **Test:** the acquired businesses added \$6,311 million of sales (Note 2, p. 55), which is 122% of the whole-company increase of \$5,169 million; whole-company sales grew 3.2% and Primary segment sales changed -0.7% (52 weeks against 53). The claim holds for earnings, not for sales or assets. Size: their operating income, \$316 million, is 1.7% (an annual profit); the price paid, \$23,109 million, is 124% (a one-time outlay).
- **Reading:** most likely ordinary: materiality was possibly judged on earnings, but the result is that no full-year figures are given for businesses earning 1.4% on their price before interest (GMS counted for five months). Full-year profit staying this low would point to goodwill (row 4) instead.
- **Read next:** the headroom by unit in the goodwill test, and the acquired companies' own last annual reports.

Return on invested capital: commercial paper is left out of capital

- **The report says:** "it measures how effectively we deploy our capital base" (management discussion, p. 35), and commercial paper funded "the repayment of senior note maturities" (p. 36).
- **Test:** the reported 25.7% recomputes, so the arithmetic holds. But long-term debt fell \$1,759 million while commercial paper rose \$4,148 million, and the profit figure is before all interest. With average commercial paper counted, the figure is 24.7%. Size: commercial paper of \$4,464 million is 24.0% (a year-end balance).
- **Reading:** possibly stretched, by about 1.0 point, because borrowing moved to a line the definition does not count; share awards pay on "target average ROIC and operating profit" (p. 71). Repayment of the paper from cash flow within a year would make it ordinary.
- **Read next:** commercial paper in the next two quarterly reports, and the award definition in the proxy statement.

Acquired customer lists: valued on attrition, charged evenly

- **The report says:** straight-line "as this approximates the pattern of expected economic benefit" (Note 1, p. 51), but the lists were valued using "customer attrition rates" (Note 13, p. 74).
- **Test:** nothing to test on the pattern itself. Customer lists were charged \$500 million in the year. Size: 2.7% (an annual charge), on a carrying amount of 48.3% (a balance).
- **Reading:** possibly stretched a little: lists that lose customers most likely give more benefit early, so an even charge over about 20 years defers cost; this rests on general practice. Low, steady attrition would make the even charge fair.
- **Read next:** the attrition rates used, and the final GMS allocation, still "preliminary" (p. 74).

3. Also noted

- Depreciation "excluding amortization of intangible assets" is \$3,514 million in the cash flow statement (p. 47) and \$3,452 million in Note 3 (p. 58); the \$62 million gap (0.3%) is not explained.
- Customer receivables rose 36.5% to \$2,588 million with the allowance "not material" (p. 48), while the risk factors say "we may face greater default risk" (p. 24).
- Inventory turnover of "4.4 times" (p. 32) holds on five quarter-end balances (4.36); year-end balances give 4.46. No formula is stated.
- GMS is outside the controls assessment, and the company is "upgrading and migrating certain accounting and finance systems" (p. 77).

4. Not in the documents: Schedule II, the related-party item (Item 13) and the proxy statement; no warranty or restructuring reserve is mentioned.

Items to check, not findings. Every figure was calculated in code from the attached documents; the code is available on request.